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|------------------|------------------------------------------------------------|-------------|
| Form <b>1040</b> | <b>Reconciliation Worksheet - Taxable Income &amp; Tax</b> | <b>2017</b> |
|------------------|------------------------------------------------------------|-------------|

|                                          |                                                      |
|------------------------------------------|------------------------------------------------------|
| Name<br><b>Jishnu &amp; Deepika Nath</b> | Taxpayer Identification Number<br><b>480-21-9401</b> |
|------------------------------------------|------------------------------------------------------|

**Reconciliation Tax Summary**

Tax brackets are rates applied to specific levels of taxable income. Various rates apply to different portions of the total taxable income. Type of income, further determines the rate applied. Marginal Tax Rate is the tax paid on the highest level of taxable income. This worksheet details how tax is calculated on ordinary income and capital gain income, the percentage of taxable income, marginal tax rate and the tax method used.

|                                                                |                               |
|----------------------------------------------------------------|-------------------------------|
| Filing Status                                                  | <u>Married filing jointly</u> |
| Tax Method                                                     | <u>Tax rate schedule</u>      |
| Tax Pct Total Tax (In 27) divided Total Taxable Income (In 19) | <b>21.0 %</b>                 |

|                       | Taxable Amount | Marginal Tax Rate | Tax on Taxable Income | Marginal Tax Rate - Income Range | Amount of Income to Next Tax Bracket |
|-----------------------|----------------|-------------------|-----------------------|----------------------------------|--------------------------------------|
| Ordinary Income       | 175,798        | 28.0 %            | 36,108                | \$153,100 - \$233,350            | 57,552                               |
| Capital Income        |                | %                 |                       |                                  |                                      |
| Capital Income - 1250 |                | %                 |                       |                                  |                                      |
| Capital Income - 1202 |                | %                 |                       |                                  |                                      |

\*Tax on taxable ordinary income under \$100,000 is determined using IRS Tax Tables that impose the same amount of tax on taxable income within \$50 intervals. Therefore, the column (b) Tax may not be calculated as column (a) times the applicable line tax rate.

**Income taxed at ordinary rates**

|                                                                           | (a) Taxable Income | (b) Tax*   |
|---------------------------------------------------------------------------|--------------------|------------|
| 1. 10% rate Maximum taxable income per this bracket: \$18,650             | 1a. 18,650         | 1b. 1,869  |
| 2. 15% rate Maximum taxable income per this bracket: \$57,250             | 2a. 57,250         | 2b. 8,590  |
| 3. 25% rate Maximum taxable income per this bracket: \$77,200             | 3a. 77,200         | 3b. 19,294 |
| 4. 28% rate Maximum taxable income per this bracket: \$80,250             | 4a. 22,698         | 4b. 6,355  |
| 5. 33% rate                                                               | 5a.                | 5b.        |
| 6. 35% rate                                                               | 6a.                | 6b.        |
| 7. 39.6% rate                                                             | 7a.                | 7b.        |
| 8. Total ordinary taxable income and ordinary tax. Add lines 1 through 7. | 8a. 175,798        | 8b. 36,108 |

**Income taxed at capital gains rates**

|                                                                                |      |      |
|--------------------------------------------------------------------------------|------|------|
| 9. 0% capital gains rate                                                       | 9a.  | 9b.  |
| 10. 15% capital gains rate                                                     | 10a. | 10b. |
| 11. 20% capital gains rate                                                     | 11a. | 11b. |
| 12. 25% capital gains rate Unrecaptured Section 1250 Gain                      | 12a. | 12b. |
| 13. 28% capital gains rate Small business stock, collectibles                  | 13a. | 13b. |
| 14. Total taxable capital gains and capital gains tax. Add lines 9 through 13. | 14a. | 14b. |

**Total taxable income**

|                                                                                                                                                       |             |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|
| 15. Total ordinary taxable income. Enter the amount from line 8a.                                                                                     | 15. 175,798 |
| 16. Total capital gains taxable income. Enter the amount from line 14a.                                                                               | 16.         |
| 17. Add lines 15 and 16.                                                                                                                              | 17. 175,798 |
| 18. Enter the net foreign exclusion amount from the Foreign Earned Income Tax Worksheet, line 2c.                                                     | 18.         |
| 19. Taxable income reported on 1040, line 43 (1040A, line 27, 1040EZ, line 6, 1040NR, line 41, or 1040NR-EZ, line 17). Subtract line 18 from line 17. | 19. 175,798 |

**Total tax**

|                                                                                                                                                    |            |
|----------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| 20. Total ordinary tax. Enter the amount from line 8b.                                                                                             | 20. 36,108 |
| 21. Total capital gains tax. Enter the amount from line 14b.                                                                                       | 21.        |
| 22. Tax on child's interest and dividend.                                                                                                          | 22.        |
| 23. Tax on lump-sum distribution.                                                                                                                  | 23.        |
| 24. Other taxes.                                                                                                                                   | 24.        |
| 25. Add lines 20 through 24.                                                                                                                       | 25. 36,108 |
| 26. Enter the tax allocated to the net exclusion amount from the Foreign Earned Income Tax Worksheet, line 5.                                      | 26.        |
| 27. Total tax reported on 1040, line 44, (1040A, line 28, 1040EZ, line 10, 1040NR, line 42, or 1040NR-EZ, line 15). Subtract line 26 from line 25. | 27. 36,108 |